

creating employment across various industries.

While EMS operations typically require larger areas, component manufacturing and smaller industries can thrive in rural regions as well.”

Shishir Gupta, CEO, Oakter (EMS): “The claim that EMS firms should receive more incentives due to better job opportunities for labour



is a significant oversimplification. Both EMS firms and component manufacturers are vital contributors to India’s electronics industry, each with its own unique value proposition. Disregarding the interconnectedness and contributions of both sectors can lead to misguided policy decisions that may hinder the overall growth and development of the electronics industry.”

Dileep Jain, CEO, Rajguru (electronics products & components): “EMS companies have automated most of the work. SMT lines require only a single person to manage the entire process from start to finish.



In some cases, one person can handle two lines. Machines are also available for DIP assembly. While certain tasks require labour, much of it is unskilled. On the other hand, component manufacturing requires far less unskilled labour.

Varun Manwani, Director, Sahasra Group (EMS & components): “First, India’s EMS industry is continuously importing components, which puts them at a disadvantage to their global peers. Therefore, component manufacturing must be localised.



It is incorrect to say that component manufacturing is highly automated across the board. It depends on the specific component being produced. A workforce is always necessary when manufacturing lower-level components like passive items, such as connectors. For instance, in PCB manufacturing, or even connector manufacturing, a significant number of workers are required as these processes are highly labour-intensive.”

Nandini B, Director, TESCO (EMS): “In the EMS industry, there are entry-level jobs available, many of them in the operator category. However, component manufacturing is more complex and offers fewer opportunities for unskilled labour. Additionally, the ratio of jobs to investment is higher in the EMS industry. While EMS is more labour-intensive for both skilled and unskilled labour, component



manufacturing tends to be more skill-oriented.”

Aniket Pathak, Uniglobus Electricals and Electronics (components): “While it is true that EMS firms may show higher immediate labour hiring, it is crucial to consider the development time



required for electronics component manufacturing. This sector often involves more complex processes, demanding significant time for research, development, and innovation before employment levels can match those of EMS firms. Both EMS and component manufacturing are integral to the electronics ecosystem, each with its own timeline and impact. A more nuanced approach that takes these differences into account would likely lead to more balanced and effective industry growth.” **EFY**

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